

Paradiem 

The Morning Brief

JULY 28, 2026

Chip Rout Widens

KOSPI plunges ~11% and Nasdaq futures slide as Monday's Nvidia-OpenAI backstop reignites the AI-capex reset, while WTI's ~8.7% drop on a firm US-Iran strike pause frames the FOMC and Big Tech print peak.

S&P 500 (MON)	BRENT (MON)	BITCOIN (LIVE)	KOSPI OVERNIGHT	FEAR & GREED
\$739.09 · ↑0.02% · flat post gap-up open	BNO \$48.72 · ↓7.34% · US-Iran pause holds	Approx. \$63K per Yahoo · IBIT Mon \$36.77 ↑1.16%	Closed ↓~10.8% per Bloomberg · SK Hynix ↓14.7%, Samsung ↓13.4%	CNN 40 · Fear per CNN · data drop crypto fallback 29

SECTION 01

Markets — The Monday Chip Cohort Give-Back Extends Into an Overnight Global Rout as the Nvidia-OpenAI \$250B Backstop Reignites the Circular-Financing Debate; The 8.7% Oil Retrace on a Firm US-Iran Pause Recasts the Wednesday FOMC and Thursday PCE Setup Against a Second Round of AI-Capex Reset Pressure

NASDAQ FUTURES DOWN ~0.9% AS KOSPI PLUNGES ~11% OVERNIGHT AND THE CHIP-COHORT RESET FROM MONDAY WIDENS GLOBALLY — THE FOMC WEDNESDAY AND BIG TECH PRINT SEQUENCE NOW LAND INTO A MATERIALLY MORE FRAGILE MERCHANT-SILICON COMPOSITION THAN THE SUNDAY-NIGHT SETUP IMPLIED

Per CNBC, Bloomberg, and Seoul Economic Daily coverage of the Tuesday overnight tape, South Korea's KOSPI closed down approximately 10.8% (with intraday declines exceeding 11%) as SK Hynix fell 14.7% and Samsung Electronics fell 13.4% — described by CNBC as Samsung's worst one-day fall in nearly two decades — while Kioxia dropped over 18%, Tokyo Electron fell 10.96%, Advantest slid more than 10%, and SoftBank Group gave back 4.43%. Per the same CNBC coverage, S&P 500 futures dipped roughly 0.15% and Nasdaq 100 futures fell about 0.88% as the Asian chip rout spread the Monday reset to overnight sessions. Per CNBC and Forex Leaders coverage of Monday's Nvidia-OpenAI \$250B financing backstop for a 10-gigawatt Ohio data center, the deal — framed as potentially exceeding \$500B once computing and energy infrastructure is included — revived the circular-dealmaking concerns that have driven the multi-week AI-capex reset. Per CNBC, Apple ended Monday as the world's most valuable company at approximately \$4.94T market cap ahead of Nvidia's approximately \$4.83T — a milestone that reflects the sentiment shift toward names with more restrained AI spending. For FCI positioning, Monday's chip-cohort composition — AMD ↓5.17% at \$494.95, NVDA ↓4.99% at \$196.51, LRCX ↓4.46% at \$291.61, MRVL ↓2.61% at \$189.17, CRDO ↓2.35% at \$208.14, NXPI ↓0.58% at \$267.67, TSM ↓1.07% at \$399.09, KEYS ↓1.57% at \$313.68 — sets the base against which the overnight rout compounds and the Wednesday MSFT / META prints will test whether the merchant-silicon sell-side has capitulated.

KOSPI OVERNIGHT	Closed ↓~10.8% per Bloomberg · SK Hynix / Samsung led the rout
SK HYNIX / SAMSUNG	SK Hynix ↓14.7% · Samsung ↓13.4% per CNBC
KIOXIA / TOKYO ELECTRON	Kioxia ↓18%+ · Tokyo Electron ↓10.96% per CNBC
US FUTURES PRE-OPEN	S&P 500 futures ↓~0.15% · Nasdaq 100 futures ↓~0.88% per CNBC
NVIDIA-OPENAI BACKSTOP	Up to \$250B financing per CNBC · project could exceed \$500B all-in
APPLE VS. NVIDIA	AAPL approx. \$4.94T · NVDA approx. \$4.83T · Apple reclaims top per CNBC
OIL (MON CLOSE)	BNO \$48.72 ↓7.34% · USO \$124.76 ↓8.73% · Brent futures approx. \$88.36 · WTI approx. \$82.61 per CNBC / Reuters
FED CONSENSUS	Hold at 3.50%–3.75% per FactSet · approx. 62% no change per market pricing per StocksAnalyzer
CARSON'S SPY SUPPORT	\$645.80 active · Mon range \$735.87–\$745.53 · not hit

MONDAY'S 8.7% OIL RETRACE COMPOUNDS OVERNIGHT AS THE US-IRAN STRIKE PAUSE HOLDS AT IRAN'S REQUEST PER TRUMP — THE ENERGY PASS-THROUGH RISK TO THURSDAY'S JUNE PCE NOW READS MATERIALLY LIGHTER THAN FRIDAY'S CLOSE IMPLIED, AND THE FCI UPSTREAM SLEEVE ABSORBED THE REPRICING MONDAY

Per CNBC and Reuters coverage of the Tuesday tape, oil prices tumbled Monday as US-Iran strikes paused; Brent futures settled down approximately 8.7% to \$88.36 and WTI dropped approximately 7.5% to \$82.61 per the same reporting, consistent with the FCI data drop showing BNO ↓7.34% at \$48.72 and USO ↓8.73% at \$124.76. Per CNN, President Trump said the US halted renewed strikes on Iran at Tehran's request while warning that strikes would resume if a new ceasefire deal is not reached; per the same coverage, Iran's Foreign Ministry stated there are no current negotiations with the US. For the FCI Upstream sleeve, Monday's composition — CVX ↓2.46% at \$190.00, OKE ↓3.97% at \$89.46, CNX ↓1.57% at \$33.75 — absorbed the crude retrace with a measured give-back rather than a capitulation, and the Energy

sector ETF closed ↓2.11% at \$58.36 (XLE) alongside a defensive rotation into Consumer Staples (XLP ↑1.46%), Consumer Discretionary (XLY ↑1.31%), and Financials (XLF ↑1.01%). The Thursday June PCE print — the first PCE observation to reflect any mid-month energy pass-through from the Iran conflict — now lands into a materially lighter oil composition than the Saturday Aramco strike setup implied, which reduces the near-term upside surprise risk on the headline read into Chair Warsh's Wednesday press conference. **Simplicity Over Complexity.**

THE AI-POWER UTILITY SLEEVE ABSORBED THE CIRCULAR-FINANCING REPRICING ALONGSIDE THE CHIP COHORT MONDAY — VST ↓3.86%, CEG ↓1.59%, EIX ↓1.39% GIVE BACK AHEAD OF THE WEDNESDAY PRINT SETUP AGAINST THE BROADER UTILITY SECTOR GIVE-BACK (XLU ↓1.32%)

Per data drop, Monday's utility-AI-power composition — VST ↓3.86% at \$157.08, CEG ↓1.59% at \$270.00, EIX ↓1.39% at \$78.64, NEE ↓1.06% at \$88.83 — gave back alongside the chip-cohort reset and the broader Utilities sector (XLU ↓1.32% at \$45.68), a composition consistent with the Nvidia-OpenAI backstop repricing the AI infrastructure demand curve as investors weigh the sustainability of hyperscaler capex commitments. Per Benzinga coverage cited in the data drop, TD Cowen maintained a Buy rating on Vistra while lowering its price target to \$222, framing the current pullback as a valuation-driven give-back rather than a demand-signal shift. For the FCI utility-AI thesis, VST and CEG remain the Q2 print catalysts (both later this reporting cycle per Wall Street Breakfast framing referenced across weekend briefs) and the composition into the print will indicate whether the long-dated PPA momentum with hyperscalers (Meta / Microsoft) continues to support the load-growth signal versus the sentiment reset from the circular-financing concerns. Per data drop, workflow-AI name ServiceNow (NOW) bucked the trend, closing Monday ↑6.86% at \$105.56 — the top FCI mover — a composition consistent with software AI names insulated from the merchant-silicon capex debate. **Think Like an Owner.**

Monday's composition delivered a clean split: the merchant-silicon and utility-AI-power sleeves absorbed a second round of the AI-capex reset while defensive rotation (XLP, XLY, XLC, XLF), gold, TLT, and workflow AI held the bid — the overnight KOSPI rout carries the pressure into the FOMC / PCE / Big Tech peak week and reinforces that the defensive positioning and pre-committed deployment tranches remain the operative framework rather than any single-catalyst impulse.

Research Reveals Opportunities.

SECTION 02

Geopolitics — The US-Iran Strike Pause Extends Into a Third Day at Tehran's Request per Trump — Iran States No Current Negotiations, Trump Warns Strikes Would Resume Without a New Ceasefire Deal, and the Fragile Framing Kept the Physical Premium Off the Crude Complex Overnight

TRUMP CONFIRMED MONDAY THE US PAUSED RENEWED STRIKES ON IRAN AT TEHRAN'S REQUEST — THE FRAMING PRESERVES THE DIPLOMATIC WINDOW WHILE PLACING THE ONUS ON A NEW CEASEFIRE DEAL TO PREVENT RESUMPTION; IRAN'S FOREIGN MINISTRY COUNTERED THAT NO CURRENT NEGOTIATIONS ARE UNDERWAY

Per CNN Live coverage of the Tuesday tape, President Trump said Monday that the US halted renewed strikes on Iran at Iran's request while warning strikes would resume if a new ceasefire deal is not reached. Per the same coverage, Iran's Foreign Ministry stated there are no current negotiations with the US — a framing that leaves the pause conditional and rhetorically fragile even as the kinetic sequence has slowed for a third consecutive session per weekend reporting cited in prior briefs. Per CNBC and Reuters coverage, oil prices tumbled in the largest single-session decline of the current risk-off cycle, with Brent futures settling approximately -8.7% to \$88.36 and WTI approximately -7.5% to \$82.61, consistent with the FCI data drop showing BNO ↓7.34% and USO ↓8.73%. Per Al Jazeera coverage of the Iran-Israel-US framework, the broader ceasefire architecture referenced across recent briefs remains at risk of collapse, with both sides having traded strikes over alleged violations across the past several weeks. For the FCI Upstream and Defense sleeves, the composition argues the crude retrace priced the absence of a publicly confirmed sustained production-loss signal from the Saturday Aramco attack rather than a settled resolution of the underlying conflict — the Aramco damage assessment remains outstanding as of this writing per Reuters framing referenced in Sunday's brief. **The physical world matters.**

THE DIPLOMATIC TRACK WIDENS BEYOND THE US-IRAN FRAME — ISRAELI AND LEBANESE OFFICIALS ARE REPORTED TO MEET IN ROME NEXT WEEK PER CNN COVERAGE TO CONTINUE WORK ON THE US-BROKERED ISRAEL-LEBANON AGREEMENT, A TRACK THAT RUNS ALONGSIDE THE CHEVRON US-GOVERNMENT MEETING ON PROTECTING KAZAKHSTAN OIL ASSETS

Per CNN Live coverage referenced in the Tuesday tape, Israeli and Lebanese officials are set to meet in Rome next week to continue work on implementing the US-brokered Israel-Lebanon peace agreement — a diplomatic track that runs alongside the US-Iran strike pause and provides a second lane of Middle East engagement. Per Yahoo coverage cited in the data drop holdings news, Chevron met with US officials over protecting Kazakhstan oil assets — a signal that the physical-cash-flow Upstream sleeve continues to engage the US-

government protection framework across geographies beyond the Middle East core. For the FCI positioning, the multi-lane diplomatic architecture combined with the fragile US-Iran pause reinforces that the physical-cash-flow Upstream sleeve retains its structural role even after the Monday oil retrace, while the Defense sleeve remains positioned against the widened Middle East attack surface referenced across recent briefs. Per data drop, LMT closed Monday ↓0.45% at \$580.00 and GD ↑0.62% at \$389.14 into the Wednesday pre-market GD Q2 print — a composition that gave back a portion of Friday's defensive bid alongside the broader risk-on rotation into consumer discretionary and staples. **Avoid Erosion.**

US-IRAN STRIKE PAUSE	Third consecutive session · US halted at Iran's request per Trump / CNN
TRUMP FRAMING	Strikes resume if no new ceasefire deal per CNN
IRAN FRAMING	No current negotiations with US per Iran Foreign Ministry per CNN
OIL MONDAY DROP	Largest single-session decline of the current risk-off cycle per CNBC / Reuters
BRENT / WTI SETTLE	Brent futures approx. \$88.36 · ↓~8.7% · WTI approx. \$82.61 · ↓~7.5% per CNBC / Reuters
ISRAEL-LEBANON TRACK	Rome talks next week on US-brokered agreement per CNN
CHEVRON / KAZAKHSTAN	CVX met with US officials on protecting Kazakhstan oil assets per Yahoo
ARAMCO ASSESSMENT	Damage assessment remains outstanding per Reuters framing in Sun brief

SECTION 03

On Our Radar

1. FCI Reporting Today — SPGI Pre-Open at 7:15 AM ET, PCAR Pre-Open, ADP Pre-Open, and NXPI After Close — The Print Cohort Frames the Data / Payroll / Chip Read Into the Wednesday FOMC and Big Tech Print Peak. Per S&P Global investor relations, SPGI releases Q2 2026 results at approximately 7:15 AM ET Tuesday with a conference call at 8:30 AM ET; consensus per data drop sits near \$4.85 EPS. Per data drop consensus, PACCAR (PCAR) reports pre-market with consensus at approximately \$1.38 EPS (Marketbeat / Zacks cite approximately \$1.33–\$1.34) on revenue near \$7.1B, framed as a modest year-over-year EPS decline into North American Class 8 truck build-rate normalization. Per data drop consensus, NXP Semiconductors (NXPI) reports after the close with consensus at approximately \$3.57 EPS (Zacks cites approximately \$3.54) on revenue near \$3.47B (approximately 18.5% year-over-year growth per Zacks) — a print that will land into the overnight KOSPI rout and provide a direct read on the auto / industrial semiconductor demand curve against the AI-capex reset narrative. ADP reports pre-market per Yahoo coverage cited in the data drop. Per data drop, SPGI closed Monday ↑3.15% at \$439.83, PCAR ↑0.91% at \$133.44, ADP ↑1.96% at \$254.98, and NXPI ↓0.58% at \$267.67 — the print composition is positioned for a mixed reception given the divergent pre-print bids. *Research Reveals Opportunities.*

2. Big Tech Print Sequence — MSFT / META Wednesday After Close, AAPL / AMZN Thursday After Close — The Overnight KOSPI Rout and Nvidia-OpenAI Circular-Financing Repricing Materially Raise the Guidance-Framing Bar for AI-Capex Sustainability. Per S&P Global, AskTraders, Motley Fool, and MoneyCheck coverage referenced in Sunday's brief, Microsoft (MSFT) and Meta (META) report after the close Wednesday, July 29 followed by Apple (AAPL) and Amazon (AMZN) after the close Thursday, July 30. The composition of the print sequence now sits against Apple's Monday reclamation of the world's-most-valuable market cap per CNBC (approximately \$4.94T versus Nvidia's approximately \$4.83T) and the Nvidia-OpenAI \$250B backstop that reignited the circular-financing debate per CNBC coverage. Per AskTraders framing, Microsoft consensus sits near \$4.21 EPS for its fiscal fourth quarter with Azure growth and AI monetization the primary focal points; Meta's FY26 capex guide of \$125B–\$145B and Reality Labs / AI infrastructure spend remain the swing factor against Q1's 41.4% operating margin per the same coverage. For the FCI Growth-Hybrid chip sleeve, the composition into the prints — AMD ↓5.17%, NVDA ↓4.99%, LRCX ↓4.46%, MRVL ↓2.61%, CRDO ↓2.35% Monday — sets the sell-side base against which any guidance restraint would compound and any guidance affirmation could catalyze a merchant-silicon retrace. *Think Like an Owner.*

3. FOMC Wednesday and June PCE Thursday — Consensus Hold at 3.50%–3.75% for the Fifth Consecutive Meeting per FactSet; The Monday Oil Retrace Materially Reduces the Near-Term Energy Pass-Through Risk to the Headline PCE Print.

Per Federal Reserve schedule, the FOMC decision lands Wednesday, July 29 at 2:00 PM ET with Chair Kevin Warsh's press conference at 2:30 PM ET (no SEP at this meeting). Per FactSet polling cited in CBS News and StocksAnalyzer preview coverage, the consensus is a hold at 3.50%–3.75% — the fifth consecutive meeting without a change — while market pricing per StocksAnalyzer implies approximately 62% probability of no change at the July decision. Per Chase and StocksAnalyzer coverage of Warsh's prior press conference framing, the Chair has abandoned traditional forward guidance and reiterated that current price levels remain elevated. Per BEA release schedule, June PCE prints Thursday, July 30 — the first PCE observation to reflect any mid-month energy pass-through from the Iran conflict, and the Monday BNO ↓7.34% / USO ↓8.73% retrace materially reduces the near-term upside surprise risk on the headline read. For the FCI Dividend sleeve, the Monday composition — ADP ↑1.96%, GPC ↑2.81%, SYK ↑1.97%, SPGI ↑3.15%, CHD ↑1.09% — held the defensive rotation bid into the print week. *Simplicity Over Complexity.*

4. Boeing Q2 Pre-Market Read Alongside the FCI Defense Sleeve — The FAA July 20 Certificate-Authority Restoration Positions the Delivery-Ramp Narrative as the Focal Point; GD Reports Wednesday Pre-Market Into the Widened Middle East Attack Surface.

Per Tipranks and Seeking Alpha preview coverage, Boeing (BA) reports Q2 2026 results pre-market Tuesday with consensus loss per share in the –\$0.28 to –\$0.34 range on revenue near \$24.05B–\$24.27B, framed against approximately 14% year-over-year commercial delivery growth to 171 units and the July 20 FAA restoration of Boeing's authority to issue final airworthiness certificates for newly built 737 MAX and 787 aircraft. Per data drop, GD closed Monday ↑0.62% at \$389.14 ahead of the Wednesday pre-market Q2 print — a print that will provide the direct read on FCI Defense positioning against the widened Middle East attack surface referenced across recent briefs, and LMT closed ↓0.45% at \$580.00 — a modest give-back of Friday's post-print bid (Friday close \$582.60 per data drop, following Thursday's cash-flow inflection print referenced in prior briefs).

Avoid Erosion.

5. Digital-Asset Sleeve — IBIT Closed Monday \$36.77 ↑1.16% and ETHA \$14.71 ↑4.77% Into an Overnight Bitcoin Retrace to Approximately \$63K per Yahoo Coverage; The Bitcoin ETF Selloff Referenced in Benzinga Framing Continues to Signal Cautious Flow Into the Fed Week.

Per data drop, IBIT closed Monday ↑1.16% at \$36.77 and

ETHA ↑4.77% at \$14.71, a composition that partially retraced Friday's give-back. Per Yahoo Personal Finance coverage of the Tuesday tape, Bitcoin traded near approximately \$63,173 (↓2.82% over 24 hours) with Ethereum near approximately \$1,872 — a modest overnight pullback. Per Benzinga coverage cited in the data drop, the Bitcoin ETF selloff has continued with approximately \$465M in outflows across two days led by IBIT. The mining cohort continued to give back with HUT ↓4.91% at \$104.59 and MARA ↓2.89% at \$11.77 Monday, while HOOD ↑0.78% at \$95.65 held a modest bid into the Robinhood Ventures Fund II retail roadshow noted in the Yahoo coverage. *The physical world matters.*

6. Carson's SPY Support Remains Untouched Through Monday's Session — Intraday Range of \$735.87–\$745.53 Sits Well Above the \$645.80 Retracement Target; The Overnight KOSPI Rout and US Futures Softness Do Not Yet Meaningfully Approach the Framework.

Per levels.json, Carson's active SPY support at \$645.80 — the retracement target set April 13 — remains untouched through Monday's \$735.87–\$745.53 intraday range per the data drop and sits well-removed from the overnight tape. The prior major resistance zone at \$691.90–\$693.20 was cleared on April 14 per levels.json and is not a live reference point in the current tape. For the FCI risk framework, the overnight KOSPI –11% chip rout combined with US Nasdaq futures –0.88% and the Wednesday FOMC / Thursday PCE / Wednesday-Thursday Big Tech print sequence reinforces that the pre-committed deployment tranches — 70% of reserves at –25% drawdown and the remaining 30% at –40% drawdown — remain the operative discipline rather than any impulse response to a single-catalyst impulse. *Research Reveals Opportunities.*